

Decision-making guide

Pricing Microsimulation

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1. Simulation platform introduction

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes the Market section, Initiate, Innovate, Adapt, and Reports. Some sections must be completed first as they have an impact on other areas.

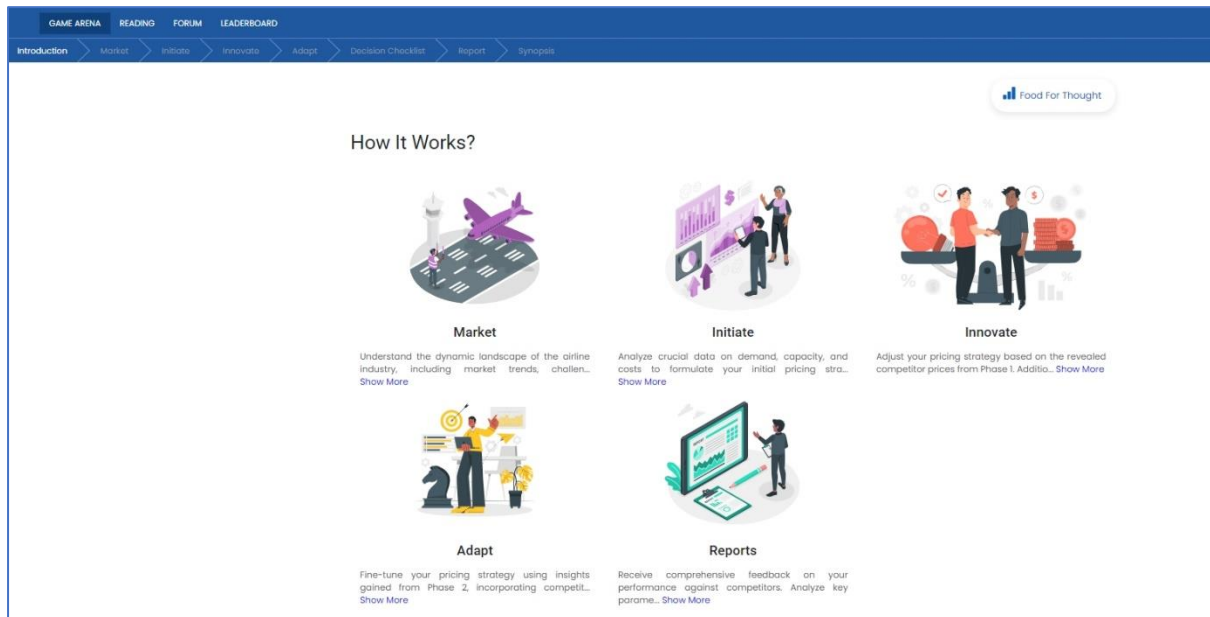


Figure 1 The Game Arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the industry, ongoing trends, obstacles, and the diverse array of decisions required.

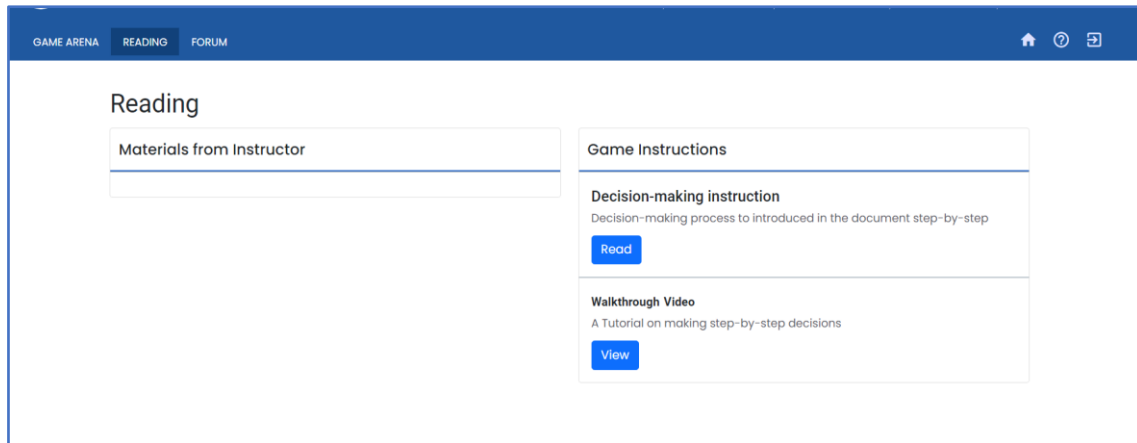


Figure 2 The Readings Section

1.3 Forum

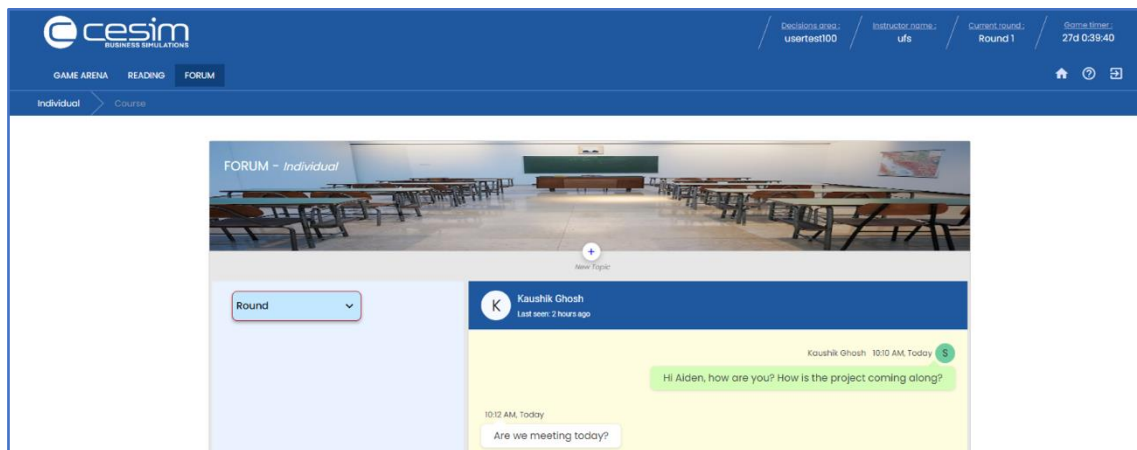


Figure 3 The Forum Section

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

An airline is preparing to launch a new route between two major cities, a market characterized by urbanization and thriving tech sectors. With only one existing competitor on this route, the airline sees a strategic opportunity to enter with a well-planned pricing strategy.

The airline's approach involves three phases of ticket sales, each tailored to two key customer segments: leisure travellers and business travellers. The goal is to attract leisure travellers with competitive pricing while offering flexibility and additional services to cater to the needs of business travellers.

The participant's role is crucial in shaping and refining this pricing strategy. By analysing industry trends, understanding customer preferences, and anticipating competitor actions, the participant will help create a pricing approach that not only meets immediate demand but also secures a long-term competitive advantage. The ultimate goal of the pricing microsimulation is to achieve an operating margin above 10 percent.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

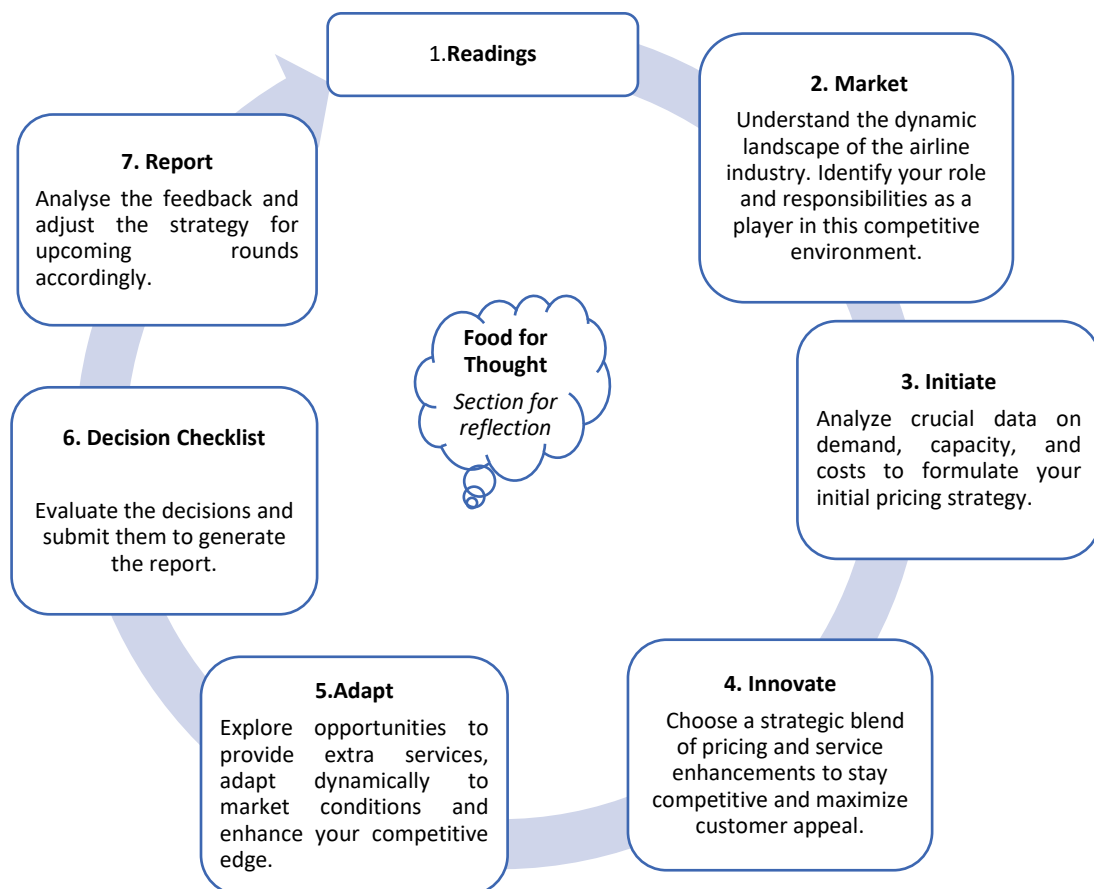


Figure 4 The Sequence of Decision-Making Process

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

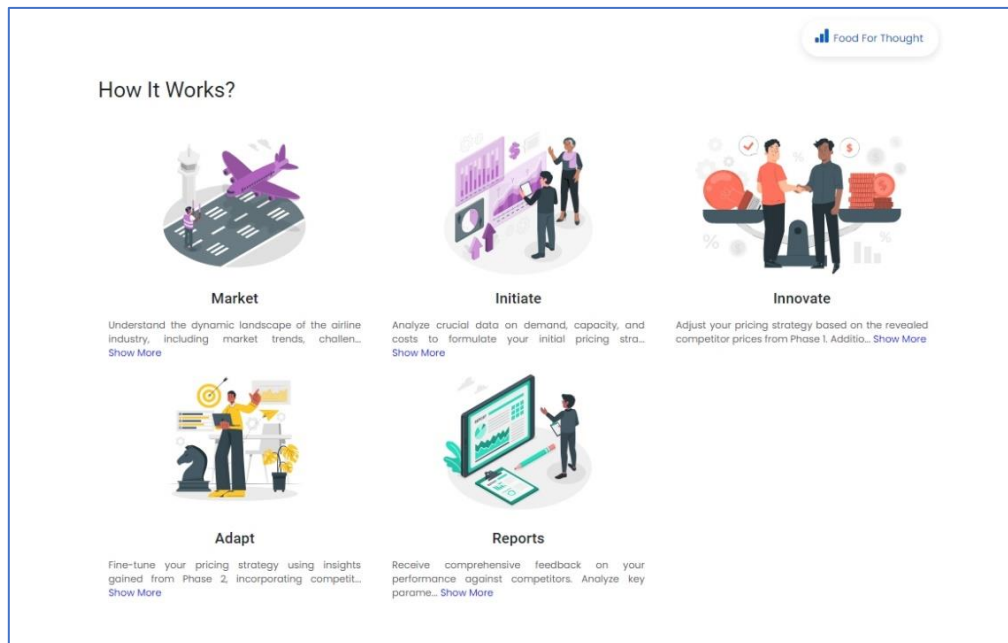


Figure 5 The Introduction Tab

2.2 Food for Thought

The "Food for Thought" section contains questions related to key decision areas, providing valuable insights to guide decision-making. Participants are encouraged to review it before addressing the decision areas, as it offers essential clarity on the decision-making process. Completion of this section is mandatory for Round one.

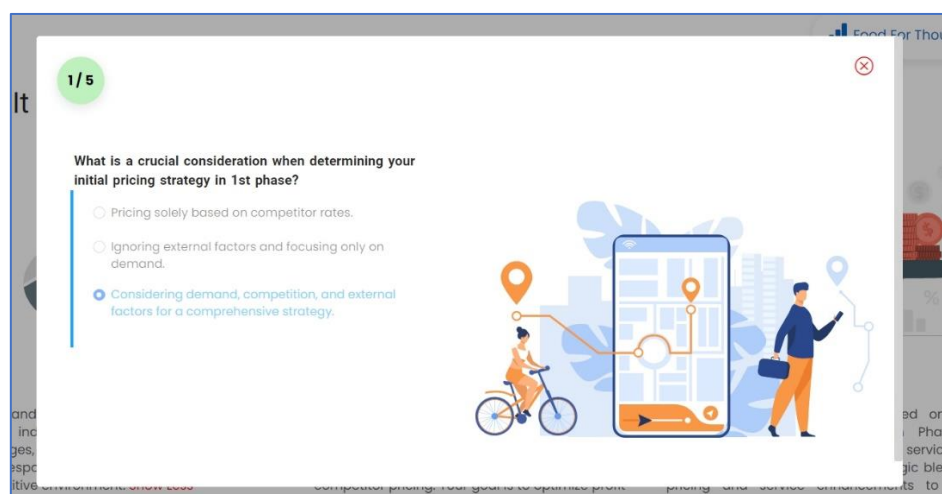


Figure 6 The Food for Thought Section in the Simulation

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.

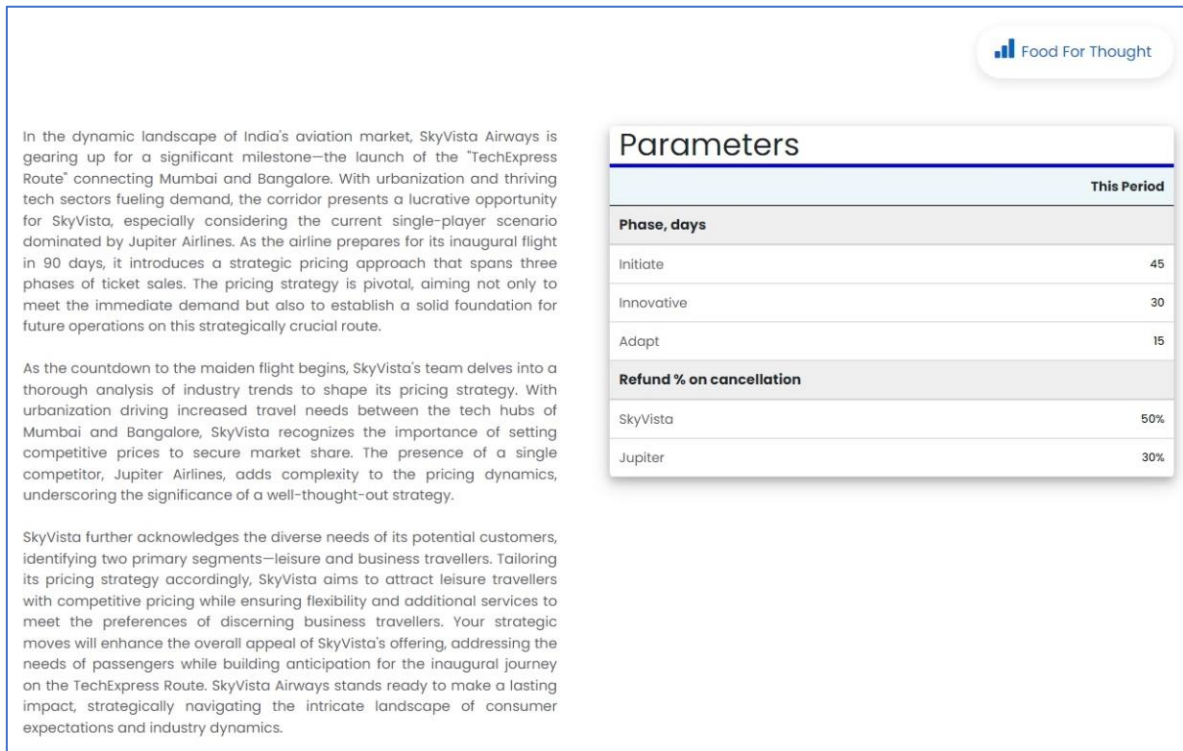


Figure 7 The Market Tab in the Game Arena

2.4 The Initiate Phase

In the initiate phase, that consists of first 45 days, the participant must set the price per seat for the first phase of ticket sales, considering the following critical parameters:

1. **Price-elasticity Graph:** Understanding how different price points impact demand is crucial for optimizing sales.
2. **Capacity:** The total number of seats available on the aircraft plays a key role in determining the pricing strategy.
3. **Demand at Base:** Estimating the initial demand for the route at a base price is essential for setting a competitive yet profitable price.
4. **Covering Costs, Including Fixed Costs:** The price must cover both variable and fixed operational costs to ensure profitability.

5. **Base Price:** The foundational price that serves as a reference point for setting ticket prices.
6. **Cost at Base:** The total cost associated with offering the service at the base price, including operational expenses.
7. **Airport Tax per flyer:** Fees associated with airport usage on a per-passenger basis should be included in the overall pricing calculation.

By carefully analysing these parameters, the participant will establish a strategic price per seat that aligns with the airline's financial goals and market conditions for the first phase of sales.



Figure 8 The Initiate Phase in the Game Arena

2.5 The Innovate Phase

Once participant take decision in the Initiate phase, they will move to the second phase, Innovate. In the Innovate Phase, spans around 30 days, and the participants must leverage insights from the competitive analysis conducted in Phase 1 to strategically refine their pricing approach.

The objective is to establish a price point that is both competitive and compelling, positioning the product advantageously within the market to maximize market penetration and share acquisition.

Key decisions in this phase include not only price adjustments but also the introduction of value-added services that enhance customer appeal. By focusing on product differentiation and creating a distinctive customer experience, participants can strengthen brand positioning and foster customer loyalty. The emphasis here is on crafting a unique value proposition that sets the product apart from competitors, driving both customer acquisition and retention.

This phase challenges participants to balance cost leadership with differentiation, ensuring that their pricing strategy aligns with overall business objectives while responding effectively to market dynamics.

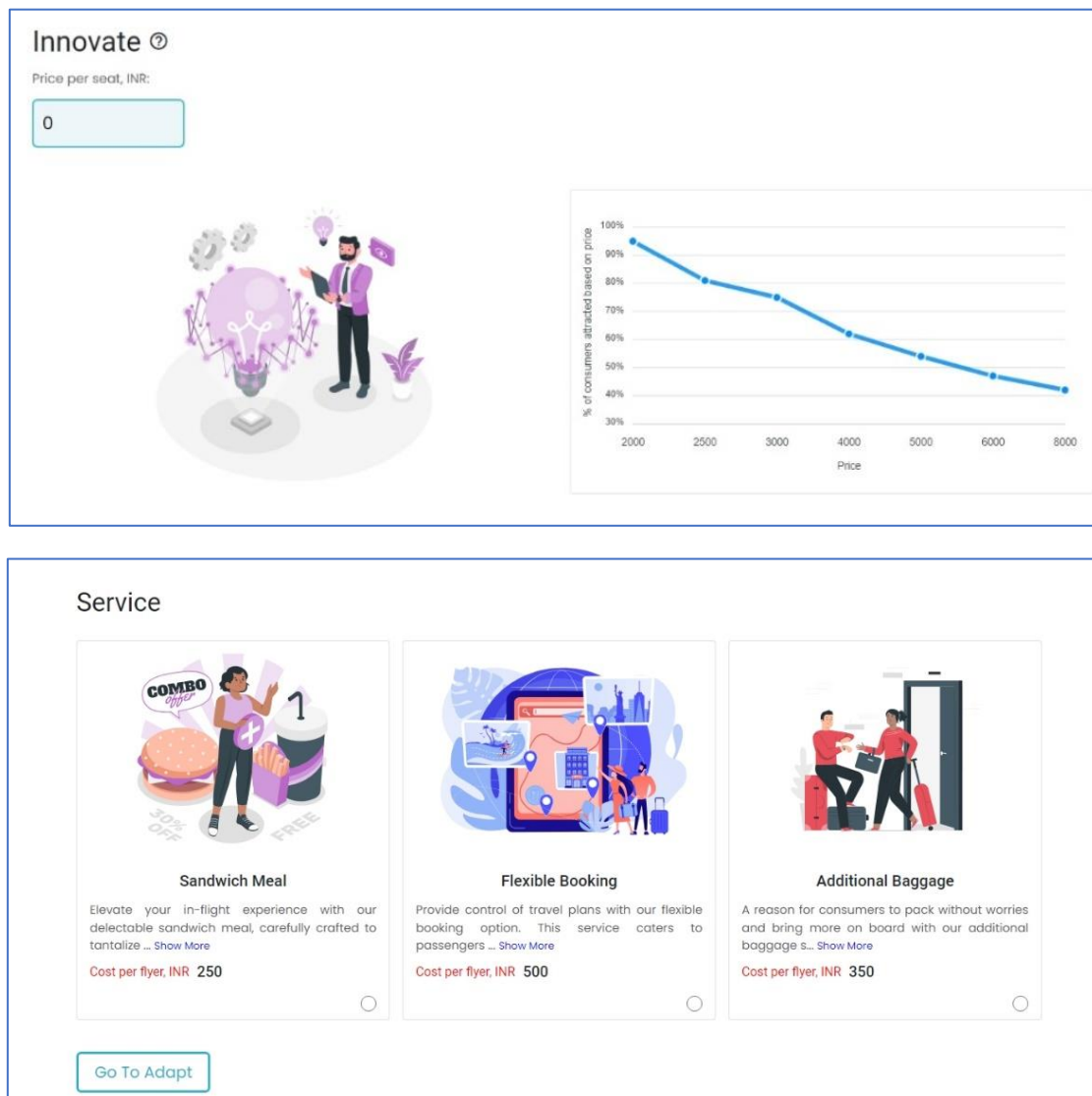


Figure 9 The Innovate Phase in the Game Arena

2.6 The Adapt Phase

The third phase, known as the Adapt Phase, spans approximately 15 days. During this phase, the focus is on aligning all aspects of the marketing strategy—pricing decisions, service offerings, and promotional activities—to create a cohesive plan that effectively meets customer needs and drives market success.

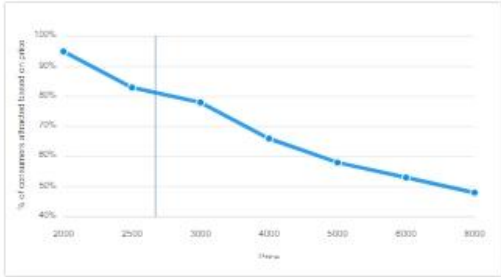
Participants should consider how each decision impacts the overall customer journey, ensuring that every touchpoint contributes to a positive and memorable brand experience.

Adapt ⓘ

Price per seat, INR:

3000





Price	% of customers affiliated based on price
2000	95%
2500	85%
3000	78%
3500	70%
4000	62%
4500	55%
5000	50%
5500	45%
6000	40%

SkyVista's deferred revenue up to Innovate Phase	
Price	1,838
Capacity	314
Sales	486
Revenue, INR	893,660

Jupiter's deferred revenue up to Innovate Phase	
Price	2,870
Capacity	331
Sales	469
Revenue, INR	1,318,620

Service



Sandwich Meal

Elevate your in-flight experience with our delectable sandwich meal, carefully crafted to tantalize... [Show More](#)

Cost per flyer, INR: 250



Flexible Booking

Provide control of travel plans with our flexible booking option. This service caters to passengers... [Show More](#)

Cost per flyer, INR: 500



Additional Baggage

A reason for consumers to pack without worries and bring more on board with our additional baggage... [Show More](#)

Cost per flyer, INR: 350

Promotion



Fare Sales and Discounts

SkyVista Airways is set to roll out an enticing Fare Sales and Discounts campaign, offering passengers [Show More](#)

Cost, INR 150000



Frequent Flyer Programs

In a bid to enhance passenger loyalty, SkyVista Airways is introducing a comprehensive Frequent Flyer [Show More](#)

Cost, INR 350000



Partnerships and Alliances

SkyVista Airways is strategically forming Partnerships and Alliances with leading hotels, car rental companies, [Show More](#)

Cost, INR 200000

Figure 10 The Adapt Phase in the Game Arena

2.8 Decision checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are finalized, participants can submit them using the Submit option if they choose to proceed with the Decision Checklist.

Decision Checklist

Round 4 ▼

Player Name

Initiate

Price per seat, INR 3700

Innovate

Price per seat, INR 0

Service offered to flyer Sandwich Meal

Adapt

Price per seat, INR 3000

Service offered to flyer Additional Baggage

Promotion offered Partnerships and Alliances

Submit

Figure 11 The Decision Checklist in the Game Arena

2.9 Report

- The report section provides the details on the participants' critical thinking abilities in each aspect. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

This section consists of feedback on the performance of the participant based on four metrics.

- Rigour:** Consistency throughout the decision-making and recommendation.
- Structuring:** Logical approach of gathering and analysing information
- Synthesis:** Approach towards interpreting information and making informed decisions
- Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decisions.

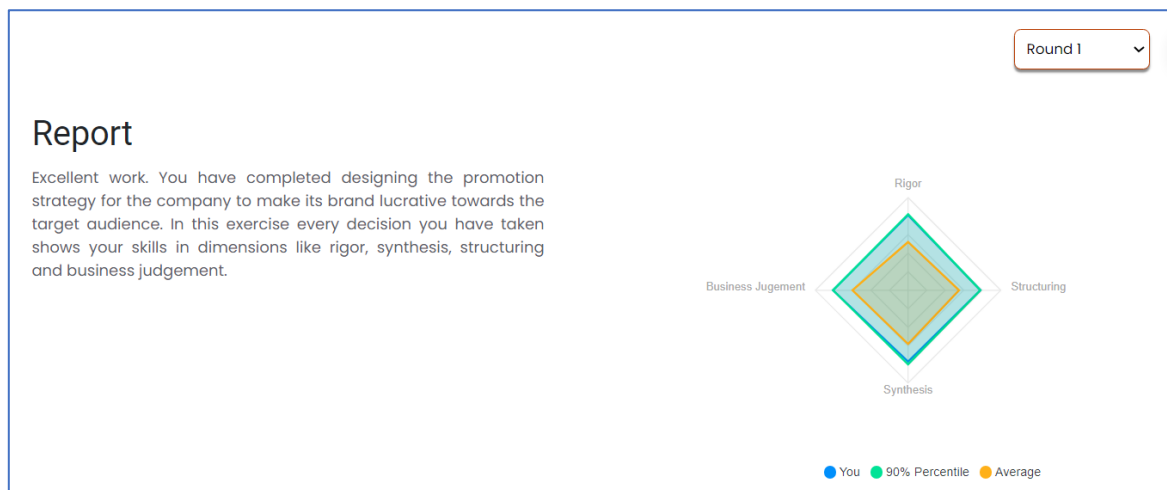


Figure 12 The Report Section



Figure 13 The Report Section

The price table shows the pricing set across the three phases for both companies, including average pricing data. The sales table details the sales performance throughout these phases, along with the total sales for each company. Additionally, graphical representations of this data are provided to enhance the analysis.

Income Statement, k INR			KPI's		
	SkyVista	Jupiter		SkyVista	Jupiter
Revenue	2,424,060	2,429,583	Unutilized capacity %	41	42
Variable cost	216,431	266,659	Margin %	11	15
Gross profit/loss	2,207,629	2,162,924	Cancellation rate %	3	4
Fixed cost	1,600,000	1,600,000			
Promotion cost	350,000	200,000			
Operating profit/loss	257,629	362,924			

Figure 14 The Report Section showing the KPI

The income statement provides a comprehensive overview of the financial performance for both companies. It details the revenue generated across the reporting periods and breaks down the costs involved. The statement also reveals the operating profit for each company, calculated as the difference between total revenue and the sum of variable, fixed, and promotion costs.

Key Performance Indicators (KPIs):

The KPI section highlights critical metrics for assessing company performance:

- **Margin Achieved:** The percentage of revenue remaining after deducting costs, indicating the profitability of operations.
- **Unutilized Capacity Percentage:** The proportion of production capacity that remains unused, reflecting potential for increased output or efficiency improvements.
- **Cancellation Rate Percentage:** The percentage of orders or bookings that are canceled, providing insight into customer satisfaction and operational efficiency.

2.10 Synopsis

The synopsis section provides a condensed overview of the key decision areas and outcomes. It offers participants a quick reference point to grasp the essence of their decisions and their impact on various aspects of the business, aiding in holistic understanding and future planning.

Synopsis

Decisions		
Parameters	Input	
Initiate		
Price per seat, INR	2,700	
Innovate		
Price per seat, INR	2,900	
Service offered to flyer	Sandwich Meal	
Adapt		
Price per seat, INR	2,850	
Service offered to flyer	Additional Baggage	
Promotion offered	0	

Price, INR		
Parameters	SkyVista	Jupiter
Initiate	2,700	2,592
Innovate	2,900	3,045
Adapt	2,850	3,420
Average pricing	2,790	2,784

KPI		
Parameters	SkyVista	Jupiter
Unutilized capacity %	44%	46%
Margin %	-40%	-42%
Cancellation rate %	5%	8%

Income Statement, INR		
Parameters	SkyVista	Jupiter
Revenue	1,281,009	1,286,351
Variable cost	193,825	231,587
Gross profit/loss	1,087,184	1,054,764
Fixed cost	1,600,000	1,600,000
Promotion cost	0	0
Operating profit/loss	-512,816	-545,236

Sales, seats		
Parameters	SkyVista	Jupiter
Initiate	248	251
Innovate	201	184
Adapt	0	0
Total sales	449	436

Thinking Ability	
Parameters	Score
Pricing	80%

Round 2

To proceed to the next iteration, follow these steps:

1. Navigate to the end of the synopsis page to locate the link for the next round.
2. Click on the 'Round' to advance to the next round.
3. You will be redirected to the home page.
4. Click on the card to begin the next round.

Note: The leaderboard will be updated only once after transitioning to the next round.